

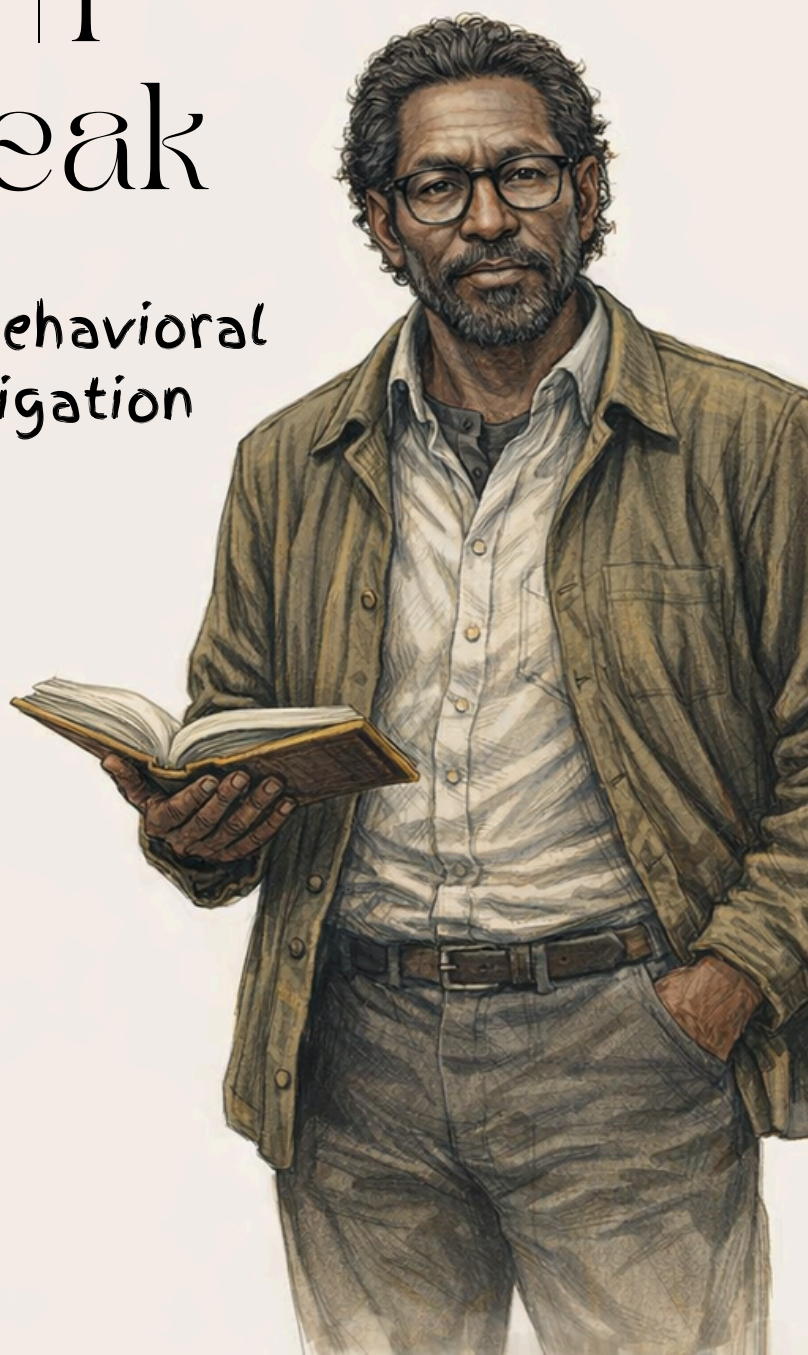
The Haugen Operating System™

MBI - Market Behavior Investigation

Handbook & Philosophy

W|T
Speak

Market Behavioral
Investigation



Created by casterDjack Owner

THE HAUGEN ENGINE - (3 MASTER CHAPTERS)

A complete
operating system
compressed into
three layers

A Complete Market Environment Operating System

Cover Page

Title: THE HAUGEN ENGINE — Market Environment Operating System

Subtitle: A Unified Framework for Intraday Survival, Structure, and Execution

Author: The Owner of casterDjack

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MBI - Market Behavior Investigation Handbook & Philosophy

"I am not a financial advisor. Nothing in this session, PDF, or communication should be interpreted as advice to buy, sell, or hold any financial instrument. All content is educational and focuses on behavior, environment, and market structure. You are solely responsible for your own trading and investment decisions.....And Yes, this writing is composed by both Microsoft Copilot and Myself(24%)."

Author - casterDjack Owner

Creator of the Haugen Engine, Market Behavior Investigation (MBI) Framework, and the Market Quality Forecasting System. Behavioral systems architect, session-based market analyst, and designer of the Triple MACD momentum architecture.

System Architecture & Research

- Market Environment Modeling
- Liquidity & Volatility Scoring
- Session Quality Framework
- Regime Classification Engine
- Triple MACD Momentum Architecture
- Sentiment Fusion Model
- Behavioral Leak Classifier
- 7-Day Environmental Forecasting Model
- Cross-Market Intelligence Layer

Editorial & Structural Integration

Synthesis of 20+ internal documents, including:

- The Haugen Dashboard
- The Human Handbook
- The Strategy Report Analysis
- The Triple MACD System
- The Market Quality Forecasting Model
- The Session Architecture
- Macro Avoidance Rules
- Sentiment + Haugen Fusion
- Trade Call Analysis
- Engine Mode Logic
- Rhythm Alignment
- Behavioral Finance Research
- “Explain Like You’re 5” Layer

Special Thanks

To the traders, clients, and early testers whose questions, mistakes, and breakthroughs shaped the behavioral layer of this system.

To the global market sessions — London 1 and NY PM — for revealing the structure that made this engine possible.

Here is the **fully updated, unified 60-Second Operator Card** with the **Tri-Market Engine** integrated cleanly as **Step 0**, the execution hierarchy. This version is **PDF-ready**, **handbook-grade**, and **structurally correct** for your 4-engine operating system.

THE 60-SECOND OPERATOR CARD

***Unified Haugen Engine • Structural Engine • Triple MACD •
HTCAP-1 • Tri-Market Engine***

This is the **complete, single-page, human-usable scan** that compresses all four engines (plus the global Tri-Market layer) into one fast decision loop.

It answers:

- **Is today safe?**
- **Is this moment stable?**
- **Is momentum aligned?**
- **Is global context clean?**
- **Is execution allowed?**

0. GLOBAL CONTEXT CHECK (Tri-Market Engine — 10 seconds)

This is now the FIRST gate. If global context fails, nothing else matters.

A. Tri-Market Score (0–100)

- **0–25 → GLOBAL BLACKOUT → STOP**
- **25–50 → GLOBAL CAUTION → micro-confirmation required**
- **50–75 → GLOBAL GOOD → normal execution allowed**
- **75–100 → GLOBAL PRIME → best global conditions**

***Execution requires Tri-Market Score $\geq$ 50.**

B. Global Regime

- **Blackout → STOP**
- **Caution → reduced size**
- **Good / Prime → normal or full size**

C. Correlation States

Execution requires:

- **BTC ↔ DXY = inverse or neutral**
- **BTC ↔ WTI = risk-on or neutral**
- **DXY ↔ WTI = macro-aligned** (This May Need Edit)
- **Contradictory correlations → STOP.**

D. Macro Bleedthrough

STOP if:

- DXY volatility > 5%
- WTI volatility > 5%
- BTC reacting to macro impulses

E. Liquidity Sync

- Strong or mixed → OK
- Weak → STOP

F. Regime Sync

- All Range → ideal
- Mixed → caution
- Trend pressure → STOP

***If any global condition fails → GLOBAL ENGINE OFF.**

1. MACRO ENVIRONMENT CHECK (Haugen Engine — 10 seconds)

If global context is clean, check the daily environment.

A. Macro Distortion (Hard Blackout)

STOP if:

- CPI
- NFP
- FOMC
- ETF deadlines
- Expiry
- Macro shock (DXY/WTI > 7%)

B. Haugen Score (0–100)

- **0–39 → BAD DAY** → observe only
- **40–59 → CAUTION** → sniper mode
- **60–74 → GOOD** → normal playbook
- **75–100 → PRIME** → peak performer

C. Hard Gates

Execution requires:

- Liquidity ≥ 6
- Volatility 3–7
- London 1 or NY PM strong

- Regime = Range-Bound

***If any fail → ENGINE CLOSED.**

2. STRUCTURAL INTEGRITY CHECK (BEYFO Engine — 10 seconds)

If the day is safe, check if the moment is stable.

A. BEYFO Regime

> 0.20 → PRIME

0.10–0.20 → GOOD

0.05–0.10 → THIN

≤ 0.05 → BAD

B. Symmetry (AASB)

Must be **0.5–1.5**.

Outside this → imbalance → STOP.

C. Tension (TLABSR)

Must be **–1 to +3**.

Outside this → micro-trend explosion/collapse → STOP.

D. Range State

Near zero → stable

Large values → tension → caution

***If BEYFO < 0.10 or symmetry/tension fail → MICRO ENGINE OFF.**

3. MOMENTUM ALIGNMENT CHECK (Triple MACD — 10 seconds)

If structure is stable, check if momentum is aligned.

A. Structural MACD (Bones)

BULL → structural tailwind

BEAR → structural headwind

FLAT → compression

B. Session MACD (Breath)

BULL → session expansion

BEAR → session contraction

FLAT → neutral

C. Volatility MACD (Heartbeat)

SPIKE+ → danger

SPIKE- → collapse

CALM → stable

Alignment Rules

3 align → SMOOTH (best conditions)

2 align → PULLBACK (tradable but cautious)

1 align → DANGER (avoid)

0 align → CHOP (soft-off)

***If volatility MACD = SPIKE → STOP.**

4. EXECUTION LAYER CHECK (HTCAP-1 — 20 seconds)

If momentum is aligned, check if execution is allowed.

A. Symbolic / Sentiment Filters

$\text{EMA}_{20} > \text{EMA}_{200} \rightarrow$ bull zone

$\text{EMA}_{20} < \text{EMA}_{200} \rightarrow$ bear zone

$\text{RSI} > 50$ for longs

$\text{RSI} < 45$ for shorts

$\text{CMF} > 0 \rightarrow$ healthy flow

$\text{CMF} < 0 \rightarrow$ weak flow

B. Macro Sentiment

Avoid if:

Retail fear ($\text{RSI} < 45 + \text{CMF} < 0$)

Institutional pause ($\text{MACD} < \text{signal} + \text{low volume}$)

On-chain dormant ($\text{CMF} < 0 + \text{RSI} < 50$)

C. Leak Classifier (Check The Structural Engine)

GOOD LEAK $\rightarrow$ aligned (Green)

NEUTRAL $\rightarrow$ mixed (Yellow/Orange)

BAD LEAK $\rightarrow$ STOP (Red)

D. 3% Rule (Final Permission Slip) This is optional

Only valid when:

Haugen Score ≥ 60

Regime = Range-Bound

Volatility 3–7

Liquidity ≥ 6

Sessions strong

Macro clean

3% down → BUY

3% up → SELL

*This is not a signal — it is a **permission slip**.

THE 60-SECOND FLOW (Operator Checklist)

Step 0 — Global Context (10 sec)

Tri-Market Score ≥ 50 ?

Global Regime $\neq$ Blackout?

No macro bleedthrough?

No volatility sync spikes?

Liquidity sync strong/mixed?

Regime sync stable?

Correlations aligned?

If NO $\rightarrow$ stop.

Step 1 — Macro (10 sec)

Macro clean?

Haugen Score ≥ 40 ?

Hard gates open?

If NO $\rightarrow$ stop.

Step 2 — Structural (10 sec)

BEYFO > 0.10 ?

AASB $0.5-1.5$?

TLABSR -1 to $+3$?

If NO $\rightarrow$ stop.

Step 3 — Momentum (10 sec)

Triple MACD aligned?

Volatility MACD calm?

If NO → caution or stop.

Step 4 — Execution (20 sec)

Symbolic zone aligned?

Sentiment clean?

Leak classifier not red?

3% rule valid?

If YES → execute.

If NO → observe.

THE PRIME DIRECTIVE

- If the environment is clean, trade.

- If the environment is dirty, don't.

This is the **final, unified, complete 60-second operator card** for all four engines plus the Tri-Market global context layer.

THE HAUGEN SYSTEM — 60-SECOND CHEAT SHEET

Macro Engine • Structural Engine • Momentum Engine • Execution Engine

1. MACRO ENGINE — “Is Today Safe?”

This is the first and most important filter. If this fails, nothing else matters.

Hard Blackout (STOP IMMEDIATELY)

- CPI
- NFP
- FOMC
- ETF deadlines
- Expiry
- Macro shock (DXY/WTI vol > 7%)

If any active → NO TRADING.

Haugen Score (0–100)

- **0–39 → BAD DAY** (observe only)
- **40–59 → CAUTION** (sniper mode)
- **60–74 → GOOD** (normal playbook)
- **75–100 → PRIME** (best days of month)

Hard Gates

- Liquidity ≥ 6
- Volatility 3–7
- London 1 or NY PM strong
- Regime = Range-Bound

If any fail → ENGINE CLOSED.

2. STRUCTURAL ENGINE — “Is This Moment Stable?”

This checks micro-structure integrity.

BEYFO Regime

- $> 0.20 \rightarrow$ PRIME
- $0.10\text{--}0.20 \rightarrow$ GOOD
- $0.05\text{--}0.10 \rightarrow$ THIN
- $\leq 0.05 \rightarrow$ BAD

Symmetry (AASB)

- Must be $0.5\text{--}1.5$
- Outside this $\rightarrow$ imbalance $\rightarrow$ avoid

Tension (TLABSR)

- Must be -1 to $+3$
- Outside this $\rightarrow$ micro-trend explosion/collapse

Range State

- Near zero $\rightarrow$ stable
- Large values $\rightarrow$ tension $\rightarrow$ caution

If BEYFO < 0.10 or symmetry/tension fail $\rightarrow$ MICRO ENGINE OFF.

3. TRIPLE MACD – “Is Momentum Aligned?”

Your nervous system: Bones, Breath, Heartbeat.

Structural MACD (12/26/9)

- BULL → structural tailwind
- BEAR → structural headwind
- FLAT → compression

Session MACD (8/21/5)

- BULL → session expansion
- BEAR → session contraction
- FLAT → neutral

Volatility MACD (3/16/10)

- SPIKE+ → danger
- SPIKE– → collapse
- CALM → stable

Alignment Rules

- 3 align → SMOOTH (best)
- 2 align → PULLBACK (tradable)
- 1 align → DANGER (avoid)
- 0 align → CHOP (soft-off)

If volatility MACD = SPIKE → STOP.

4. EXECUTION ENGINE — “Do I Have Permission?”

This is the final green light.

Symbolic / Sentiment Filters

- $EMA20 > EMA200 \rightarrow$ bull zone
- $EMA20 < EMA200 \rightarrow$ bear zone
- $RSI > 50$ for longs
- $RSI < 45$ for shorts
- $CMF > 0 \rightarrow$ healthy flow
- $CMF < 0 \rightarrow$ weak flow

Macro Sentiment

Avoid if:

- Retail fear ($RSI < 45 + CMF < 0$)
- Institutional pause ($MACD < \text{signal} + \text{low volume}$)
- On-chain dormant ($CMF < 0 + RSI < 50$)

Leak Classifier

- **GOOD LEAK** $\rightarrow$ aligned month, good session, good vol, good liq, good regime
- **BAD LEAK** $\rightarrow$ macro bad, low session, bad vol, bad liq, breakout regime
- **NEUTRAL** $\rightarrow$ mixed

If BAD LEAK $\rightarrow$ STOP.

3% Rule (Final Trigger)

Only valid when:

- Haugen Score ≥ 60
- Regime = Range-Bound

- Volatility 3–7
- Liquidity ≥ 6
- Sessions strong
- Macro clean

3% down → BUY

3% up → SELL

This is not a signal — it is a **permission slip**.

THE 60-SECOND FLOW

1. Macro Clean?

If no → stop.

2. Structural Stable?

If no → stop.

3. Momentum Aligned?

If no → caution or stop.

4. Execution Allowed?

If yes → execute.

If no → observe.

THE PRIME DIRECTIVE

If the environment is clean, trade.

If the environment is dirty, don't.

CHAPTER 1 — THE ENVIRONMENT ENGINE

The Layer That Decides Whether Today Is Safe

1.1 Philosophy of Environment-First Trading

- Why environment overrides signals.
- Why most traders lose.
- The Prime Directive.

1.2 Macro Distortion — The Daily Kill-Switch

- CPI, NFP, FOMC, ETF deadlines, expiry.
- Macro shock vs macro stress.
- Hard Blackout rules.

1.3 Liquidity Score (0–10) — Market Fuel

- Volume normalization.
- Spread stability.
- Session participation.
- Why liquidity < 6 disables the engine

1.4 Volatility Score (0–10) — Engine Temperature

- Compression (<3%).
- Ideal (3–7%).
- Chaos (>7%).
- Why volatility defines structure.

1.5 Session Quality (0–10) — Road Conditions

- London 1.
- NY PM.
- Why these two windows produce 80% of your edge.

1.6 Regime Engine — Market Climate

- Range-Bound (valid).
- Trend (invalid).
- Breakout (invalid).
- Why the system only works in one climate.

1.7 Haugen Score (0–100) — Daily Weather System

- Bad, Caution, Good, Prime.
- How the score forecasts conditions.

1.8 The 3% Rule — Execution Permission Slip

- 3% down → BUY.
- 3% up → SELL.
- Only valid when all gates are clean.

1.9 7-Day Market Quality Forecasting

- Clean vs dirty days.
- Volatility cycles.
- Liquidity cycles.
- Macro windows.

1.10 Tri-Market Weather (BTC + DXY + WTI)

- Tri-Market Score.
- Global regimes.
- Correlation states.
- Macro bleedthrough.

1.11 Environment Summary – Daily ON/OFF Logic

“Is today safe?”

When to stop.

When to proceed to Chapter 2.

CHAPTER 2 — THE STRUCTURAL & MOMENTUM ENGINE

The Layer That Decides Whether This Moment Is Stable

2.1 Why Structure Matters More Than Signals

- Micro-structure vs macro-environment.
- How structure predicts stability.

2.2 CAPM Micro-Drift Filter

- Expected return.
- Risk premium.
- Positive vs negative drift.

2.3 PAC1 — Buying Pressure, Directional Risk, Range State

- BP, DR, and Range State.
- Micro-range vs micro-trend tension.
-

2.4 AASB — Symmetry Engine

- Balance vs imbalance.
- Valid range: 0.5–1.5.
- Why symmetry is required for mean reversion.

2.5 TLABSR — Tension Engine

- Micro-trend acceleration.
- Micro-trend collapse.

- Valid range: -1 to $+3$.

2.6 BEYFO – Structural Integrity Score

- Prime, Good, Thin, Bad.
- Structural integrity classification.
-

2.7 Triple MACD – Bones, Breath, Heartbeat

- Structural MACD.
- Session MACD.
- Volatility MACD.
- Alignment logic (3/2/1/0).

2.8 Structural S/R Engine

- Range high, low, mid.
- Liquidity-weighted midpoint.
- Structural map logic.

2.9 Session-Filtered Micro-Flow

- Session-only candle linking.
- Micro-flow visualization.
- Session rhythm.

2.10 Structural Summary – Moment-Level ON/OFF Logic

“Is this moment stable?”

When to stop.

When to proceed to Chapter 3.

CHAPTER 3 — THE EXECUTION ENGINE

The Layer That Decides Whether You Have Permission to Act

3.1 Execution Philosophy

- Why execution is the final step.
- Why signals come last.

3.2 Symbolic Filters — EMA20/EMA200

- Bull zone.
- Bear zone.
- Neutral zone.

3.3 Sentiment Fusion Model

- Retail fear.
- Institutional pause.
- On-chain dormancy.

3.4 Multi-TF Confirmation (1h, 4h)

- RSI alignment.
- MACD alignment.
- HTF volatility spikes.

3.5 Behavioral Leak Classifier — Risk Quality Filter

- Good leak.

- Neutral leak.
- Bad leak.

3.6 HTCAP-1 – Structural Execution Logic

- Symbolic bias.
- Sentiment filters.
- Macro sentiment.
- Final long/short conditions.

3.7 Session-Based Execution Windows

- London 1.
- NY PM.
- Why these windows produce the cleanest reversals.

3.8 The 3% Rule (Revisited)

- Final permission slip.
- Conditions required.
- Why it is not a signal.

3.9 Execution Summary – Final Permission Logic

“Do I have permission to execute?”

When execution is allowed.

When execution is forbidden.

CHAPTER 1 – THE ENVIRONMENT ENGINE

The Layer That Decides Whether Today Is Safe

The Environment Engine is the firewall of the Haugen System. It determines whether the market is stable enough for you to participate at all.

Most traders skip this step and jump straight into execution. That's why they lose.

The environment decides everything.
If today is unsafe, nothing else matters.

- Structure doesn't matter.
- Momentum doesn't matter.
- Signals don't matter.

The first job of the operator is to determine whether the day is even valid.

This chapter defines the daily climate of the market. It answers one question:

“Is today safe?”

If the answer is no, the system stops here.

If the answer is yes, you move to Chapter 2.

1.1 Philosophy of Environment-First Trading

Most traders chase entries.

Most systems chase signals.

Most strategies chase patterns.

The Haugen Engine does none of these.

It does not predict price.

It does not forecast direction.

- It does not hunt for breakouts or reversals.
- It evaluates conditions.
- The philosophy is simple:
- **Clean environment — trade.**
- **Dirty environment — don't.**

This single shift separates the 4% who survive from the 96% who fail. The market is hostile by default.

Clean days are rare.

Macro distortion overrides everything.

Only two sessions consistently produce stable structure. The Environment Engine is your first line of defense. It protects you from the days where the market is designed to take your money.

1.2 Macro Distortion — The Daily Kill-Switch

Macro events are the most destructive force in intraday trading. They create liquidity vacuums, volatility spikes, and unpredictable price behavior.

The Haugen Engine treats macro distortion as a full stop.

If any of the following are active or imminent, the day is invalid:

CPI

- NFP
- FOMC
- ETF deadlines
- Futures or options expiry
- Major Fed speakers

Systemic news shocks

- Macro shock (DXY or WTI volatility > 7%)
- When macro distortion is present, the environment becomes unsafe.

No Haugen Score.

No 3% rule.

No execution.

Macro overrides everything.

This is the kill-switch of the system.

1.3 Liquidity Score (0–10) — Market Fuel

Liquidity is the fuel of the market. Without fuel, structure

collapses.

The engine evaluates liquidity through:

- volume normalization
- spread stability
- depth
- session participation
- volatility penalties
- Threshold:
- **< 6 — Engine OFF**
- **≥ 6 — Pass**

Low liquidity produces slippage, fakeouts, stop hunts, and broken mean reversion. It is one of the most underrated filters in retail trading — and one of the most important in your system.

1.4 Volatility Score (0–10) — Engine Temperature

Volatility is the engine temperature.

- Too cold → no movement.
- Too hot → chaos.
- Just right → clean structure.
- The engine classifies volatility into three zones:

Compression (<3%)

- Frozen market.
- No follow-through.

- No 3% rule.
- No edge.

Ideal (3–7%)

- Smooth oscillations.
- Clean reversions.
- Predictable structure.
- Engine ON.

Chaos (>7%)

- Violent swings.
- Trend explosions.
- Macro spillover.
- Engine OFF.
- Volatility is not about fear.
- It is about structure.

1.5 Session Quality (0–10) — Road Conditions

Sessions are the road conditions of the market. Some roads are paved. Some are cliffs.

The engine evaluates:

- Asia
- London 1
- London 2
- NY Open
- NY AM
- NY PM

But only two matter:

London 1 (03:00–05:00 NY)

- Best reversals.
 - Best structure.
 - Best liquidity.
 - Best mean reversion.
-
- **NY PM (14:00–17:00 NY)**
 - Best exits.
 - Best reversion.
 - Best trend exhaustion.
 - Threshold:

If both < 6 — Engine OFF

If at least one is strong — Pass

Session quality is the backbone of intraday survival.

1.6 Regime Engine — Market Climate

Your system only works in one climate:

- **Range-Bound Regime**
- Mean reversion valid.
- 3% rule ON.
- Clean oscillations.
- Predictable structure.
- Trend and breakout regimes disable the engine.

The system avoids:

- trend days

- expansion days
- breakout days
- macro days
- high-volatility days
- low-liquidity days

The system is not designed to fight the market — only to exploit its stability.

- **1.7 Haugen Score (0–100) — Daily Weather System**

The engine compresses:

- liquidity
- volatility
- sessions
- regime

into a single number.

0–39 — BAD DAY

Observer mode. No trades.

40–59 — CAUTION DAY

Sniper mode. Small size.

60–74 — GOOD DAY

Trader mode. Full playbook.

75–100 — PRIME DAY

Peak performer mode. Best conditions of the month.

The Haugen Score is your daily weather report.

Just like a pilot checks weather before flying, you check the

Haugen Score before trading.

1.8 The 3% Rule — Execution Permission Slip

The 3% rule is simple:

3% down → BUY

3% up → SELL

But only when:

- regime = range-bound
- macro = clean
- sessions = strong
- liquidity ≥ 6
- volatility 3–7
- Haugen Score ≥ 60

This is not a signal.

It is a permission slip.

The 3% rule is the final step — not the first.

1.9 7-Day Market Quality Forecasting

The engine forecasts:

- clean vs dirty days
- session quality
- volatility cycles
- liquidity cycles

- macro distortion windows
- regime shifts

It does not forecast price.

It forecasts conditions.

This is the same class of model used by quant desks, options market makers, institutional risk teams, and HFT liquidity providers — but optimized for retail.

1.10 Tri-Market Weather (BTC + DXY + WTI)

The engine evaluates three assets:

BTC → behavioral engine

DXY → macro engine

WTI → volatility engine

It produces:

- Tri-Market Score
- Global Regime
- Correlation states
- Macro bleedthrough
- Liquidity sync
- Regime sync

This is your global environment model.

1.11 Environment Summary — Daily ON/OFF Logic

The Environment Engine answers the first and most important question:

“Is today safe?”

If the answer is no, the system stops here.

If the answer is yes, you proceed to Chapter 2

CHAPTER 2 – THE STRUCTURAL & MOMENTUM ENGINE

The Layer That Decides Whether This Moment Is Stable

The Structural & Momentum Engine evaluates the *moment* you are in.

If Chapter 1 tells you whether the **day** is safe, Chapter 2 tells you whether the **moment** is stable.

Most traders enter because they “feel” something.

They see a candle.

They see a pattern.

They see a breakout.

They see a dip.

None of that matters.

Structure is the truth of the moment.

Momentum is the breath of the moment.

Together, they determine whether the market is stable enough for you to act.

This chapter answers the second critical question:

“Is this moment stable?”

If the answer is no, the system stops here.

If the answer is yes, you move to Chapter 3.

2.1 Why Structure Matters More Than Signals

Signals are cheap.

Structure is expensive.

Signals tell you what price is doing.

Structure tells you *why* it's doing it.

Signals react.

Structure reveals.

Most traders chase signals because they want certainty.

But certainty doesn't exist in the market.

Only conditions exist.

Structure is the condition of the moment.

It tells you whether the market is balanced, stretched, accelerating, collapsing, or drifting.

If structure is unstable, nothing else matters.

If structure is stable, the system can proceed.

This is the foundation of the Structural Engine.

2.2 CAPM Micro-Drift Filter

The CAPM Micro-Drift Filter measures the expected return of the moment.

It evaluates whether the market is drifting upward, drifting downward, or drifting sideways.

Positive drift supports long bias.

Negative drift supports short bias.

Neutral drift supports mean reversion.

Drift is not direction.

Drift is pressure.

- It tells you whether the market is leaning in one direction or simply oscillating.
- If drift contradicts the environment or the regime, the moment becomes unstable.

2.3 PAC1 – Buying Pressure, Directional Risk, Range State

PAC1 is one of the core structural filters of the system.

It evaluates three components:

Buying Pressure (BP)

How aggressively buyers are stepping in.

Directional Risk (DR)

How likely the market is to break structure.

Range State

Whether the market is in a micro-range or micro-trend.

PAC1 determines whether the moment is balanced or stretched.

If BP and DR are misaligned, the moment becomes unstable.

- If Range State is broken, mean reversion becomes invalid.
- PAC1 is the heartbeat of moment-level structure.

2.4 AASB – Symmetry Engine

AASB measures symmetry – the balance between buying and selling pressure.

- Valid range: **0.5–1.5**

Above 1.5 → imbalance.

Below 0.5 → collapse.

Inside the range → stability.

- Symmetry is required for mean reversion.
- If symmetry breaks, the moment becomes dangerous.
- AASB is one of the simplest and most powerful filters in the system.

2.5 TLABSR – Tension Engine

TLABSR measures tension – the acceleration or collapse of micro-trend energy.

Valid range: **–1 to +3**

Below –1 → collapse.

Above +3 → acceleration.

Inside the range → stable oscillation.

Tension tells you whether the market is about to snap or breathe.

It is one of the earliest warnings of instability.

When tension is outside the valid range, the moment is unsafe.

2.6 BEYFO – Structural Integrity Score

BEYFO is the structural integrity score of the moment.

It blends:

- risk premium
- symmetry
- tension

into a single number.

Prime: ≥ 0.20

Good: 0.15–0.19

Thin: 0.10–0.14

Bad: < 0.10

Prime and Good moments support execution.

Thin and Bad moments disable execution.

BEYFO is one of the most important filters in the entire

system.

It tells you whether the moment is strong enough to act.

2.7 Triple MACD — Bones, Breath, Heartbeat

Triple MACD evaluates momentum across three layers:

Bones — Structural MACD

The deep structure of the moment.

Breath — Session MACD

The rhythm of the active session.

Heartbeat — Volatility MACD

The pulse of volatility.

Alignment:

3/3 → Prime

2/3 → Good

1/3 → Thin

0/3 → Bad

Triple MACD is not a signal.

It is a stability check.

Momentum must support structure.

If momentum contradicts structure, the moment becomes unstable.

2.8 Structural S/R Engine

The Structural S/R Engine identifies:

- range high
- range low
- range mid
- liquidity-weighted midpoint

These levels define the battlefield of the moment.

If price is near the edges, risk increases.

If price is near the midpoint, stability increases.

Structural S/R is not about prediction.

It is about context.

It tells you where the moment sits inside the larger structure.

2.9 Session-Filtered Micro-Flow

Micro-flow evaluates the movement of price inside the active session.

It filters out noise from other sessions.

It isolates the rhythm of the moment.

Session-filtered micro-flow reveals:

1. clean oscillations
2. dirty oscillations
3. micro-trend attempts
4. micro-trend failures
5. session exhaustion

Micro-flow is one of the most accurate ways to read the heartbeat of the moment.

2.10 Structural Summary – Moment-Level ON/OFF Logic

The Structural Engine answers the second critical question:

“Is this moment stable?”

If the answer is no, the system stops here.

If the answer is yes, you proceed to Chapter 3.

Structure protects you from the moments where the market is most dangerous.

Momentum confirms whether the moment is alive or collapsing.

Together, they form the backbone of the Haugen Engine.

CHAPTER 3 – THE EXECUTION ENGINE

The Layer That Decides Whether You Have Permission to Act
Execution is the final step of the Haugen System.

It only becomes valid after the environment and structure are clean.

Most traders try to execute first and think later.
The Haugen Engine does the opposite.
Execution is permission, not prediction.
It is the last gate, not the first.

This chapter answers the third and final question:

“Do I have permission to act?”

If the answer is no, you stop.
If the answer is yes, you execute with confidence.

3.1 Execution Philosophy

Execution is not about catching moves.
It is not about timing tops or bottoms.
It is not about predicting direction.
Execution is about acting only when the conditions are stable enough to support action.

The system does not reward aggression.

It rewards discipline.

If the environment is clean and the structure is stable, execution becomes simple.

If either layer is compromised, execution becomes dangerous.

The Execution Engine protects you from acting in moments where the market is designed to take your money.

3.2 Symbolic Filters – EMA20/EMA200

Symbolic filters define the directional bias of the moment.

They do not predict direction.

They classify it.

EMA20 above EMA200 → Bull Zone

Longs are valid.

Shorts are restricted.

EMA20 below EMA200 → Bear Zone

Shorts are valid.

Longs are restricted.

EMA20 crossing EMA200 → Neutral Zone

Both directions are restricted.

The market is transitioning.

Symbolic filters prevent you from fighting the dominant pressure of the moment.

3.3 Sentiment Fusion Model

Sentiment is not emotion.

Sentiment is positioning.

The Sentiment Fusion Model blends:

- retail fear
- institutional pause
- on-chain dormancy
- funding pressure
- liquidation clusters

Sentiment does not tell you what to do.

It tells you what *not* to do.

If sentiment is extreme, execution becomes dangerous.

If sentiment is balanced, execution becomes valid.

Sentiment is a filter, not a signal.

3.4 Multi-TF Confirmation (1h, 4h)

Higher timeframes define the background pressure of the moment:

- The Execution Engine checks:
- 1h RSI alignment
- 4h RSI alignment
- 1h MACD alignment
- 4h MACD alignment

- HTF volatility spikes
- HTF trend attempts

If higher timeframes contradict the moment, execution becomes unstable.

Multi-TF confirmation ensures you are not trading against the larger structure.

3.5 Behavioral Leak Classifier – Risk Quality Filter

The Behavioral Leak Classifier identifies the quality of the moment.

There are three leak states:

Good Leak

- Clean oscillations.
- Stable structure.
- Predictable behavior.

Neutral Leak

- Mixed signals.
- Choppy structure.
- Reduced clarity.

Bad Leak

- Erratic movement.
- Fakeouts.
- Stop hunts.
- Structural collapse.

Bad leaks disable execution.

Good leaks support it.

The leak classifier protects you from the moments where the market is most dangerous.

3.6 HTCAP-1 – Structural Execution Logic

HTCAP-1 is the final structural filter before execution.

It evaluates:

- symbolic bias
- sentiment alignment
- macro sentiment
- structural integrity
- momentum alignment
- session rhythm

HTCAP-1 does not generate entries.

It validates them.

If HTCAP-1 is clean, execution is allowed.

If HTCAP-1 is dirty, execution is forbidden.

This is the final structural gate before the 3% rule.

3.7 Session-Based Execution Windows

Execution is only valid inside two windows:

London 1 (03:00–05:00 NY)

Best reversals.

Best structure.

Best mean reversion.

NY PM (14:00–17:00 NY)

Best exits.

Best reversion.

Best trend exhaustion.

Other sessions are unstable.

They produce noise, fakeouts, and broken structure.

The Execution Engine only activates inside these windows.

3.8 The 3% Rule (Revisited)

The 3% rule is the final permission slip.

3% down → BUY

3% up → SELL

But only when:

- environment is clean
- structure is stable
- symbolic bias aligns
- sentiment is balanced
- HTCAP-1 is clean
- session is valid
- macro is quiet
- volatility is ideal

- liquidity ≥ 6
- Haugen Score ≥ 60

The 3% rule is not a signal.

It is the final confirmation that the moment is safe.

3.9 Execution Summary – Final Permission Logic

The Execution Engine answers the final question:

“Do I have permission to execute?”

If the environment is clean, structure is stable, and execution filters align, the answer is yes.

If any layer fails, the answer is no.

Execution is the smallest part of the system.

It is the last step.

It is the simplest step.

It is the safest step.

The Haugen Engine is not designed to help you trade more.
It is designed to help you trade *correctly*.

“This is an educational behavioral diagnostic. I do not provide financial advice or trade recommendations.”



